



FOR A LONG TIME, New Delhi-based software professional Nibedita Sharma had dreamt of renovating her house. The only stumbling block was money. There were always expenses that needed urgent attention, putting the renovation on the back-burner. Till she noticed seepage through the ceiling and couldn't delay the renovation any further. A nervous Sharma, 40, decided to go in for a personal loan. To her pleasant surprise, many banks, non-banking financial companies (NBFCs) and fintech firms lined up to offer her a loan in a matter of seconds. All she had to do was click through a few buttons and the money was credited to her account. "My good credit score and long relationship with the bank helped me get a personal loan at 11 per cent [interest] in a matter of minutes. I will pay monthly EMIs (equated monthly instalments) over a period of two years," she says.

Like Sharma, many Indians are fascinated by the easy availability of personal loans. Access to funds is no longer limited to people living in metros or with good credit scores. With fintech companies crowding the space, even people with low or no credit scores have better chances of obtaining a personal loan now.

While personal loans may be readily available, how does one get them cheap? Shop around for the lowest rates and opt for a fixed-rate loan as interest rates are rising. The lower the rate, the smaller your EMI. There are many factors lenders look at, including credit score and loan profile.

There are a few avenues that

BANKS OFFERING LOANS AT LOW INTEREST

Interest rate and equated monthly instalments (EMI) on a personal loan of ₹5 lakh for a five-year tenure

Banks	Interest rate (Per annum)	EMI (5-year tenure)
Punjab National Bank*	8.30%	₹ 10,210
Bank of Baroda#	8.65%	₹ 10,294
Indian Bank	8.90%	₹ 10,355
Central Bank	8.90%	₹ 10,355
IDBI Bank	9.50%	₹ 10,501
Union Bank	9.70%	₹ 10,550
State Bank of India	9.80%	₹ 10,574
Bank of Maharashtra	9.85%	₹ 10,587
Punjab & Sind Bank	9.90%	₹ 10,599
Indian Overseas Bank	10.00%	₹ 10,624
Kotak Mahindra Bank	10.25%	₹ 10,685
UCO Bank	10.30%	₹ 10,697
Federal Bank	10.49%	₹ 10,744
IDFC First Bank	10.49%	₹ 10,744
IndusInd Bank	10.49%	₹ 10,744

NOTE: INTEREST RATE ON PERSONAL LOAN FOR ALL LISTED (BSE) PUBLIC AND PRIVATE BANKS CONSIDERED FOR DATA COMPILATION; BANKS FOR WHICH DATA IS NOT AVAILABLE ON THEIR WEBSITE ARE NOT CONSIDERED. THE TABLE CONSISTS OF LOWEST INTEREST ON PERSONAL LOAN IRRESPECTIVE OF THE LOAN AMOUNT. DATA COLLECTED FROM RESPECTIVE BANK'S WEBSITE AS ON JUNE 8, 2022. INTEREST AND CHARGES MENTIONED IN THE TABLE ARE INDICATIVE AND THEY MAY VARY DEPENDING ON BANK'S TERMS AND CONDITIONS; *FOR DOCTORS; #FOR GOVERNMENT EMPLOYEES AND DEFENCE PERSONNEL

LIST NOT EXHAUSTIVE; COMPILED BY BANKBAZAAR.COM

THE PATH TO A CHEAP LOAN

- ▶ Pick a lender offering low interest rate
- ▶ Opt for fixed-rate loans in a rising interest rate regime
- ▶ Calculate other variables like processing fees, legal charges, penal charges, prepayment charges
- ▶ Always take loans from a regulated source
- ▶ Maintain a good credit score and loan profile

GRAPHICS BY RAHUL SHARMA

offer personal loans. While some charge you low interest rates, others offer flexible repayment options. Opt for the one that suits you the best. Banks offer personal loans at the lowest interest if you have a good credit score. A long and sustained relationship with the bank makes it even easier. In case of a pre-ap-

proved loan, you don't even require any documents. The only downside is the lack of flexibility. Banks generally do not allow partial prepayment.

NBFCs can be your second option. "NBFCs have been active proponents of the use of technology in lending and thereby offer speed along with convenience, making it